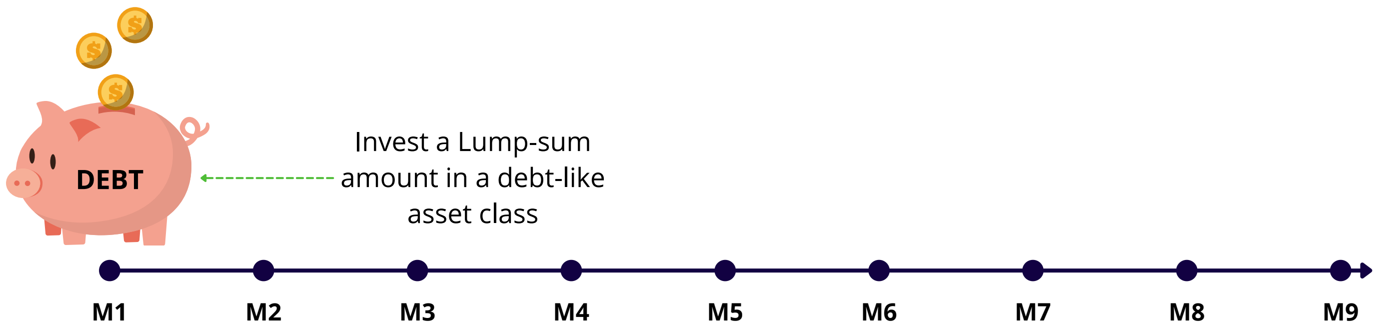
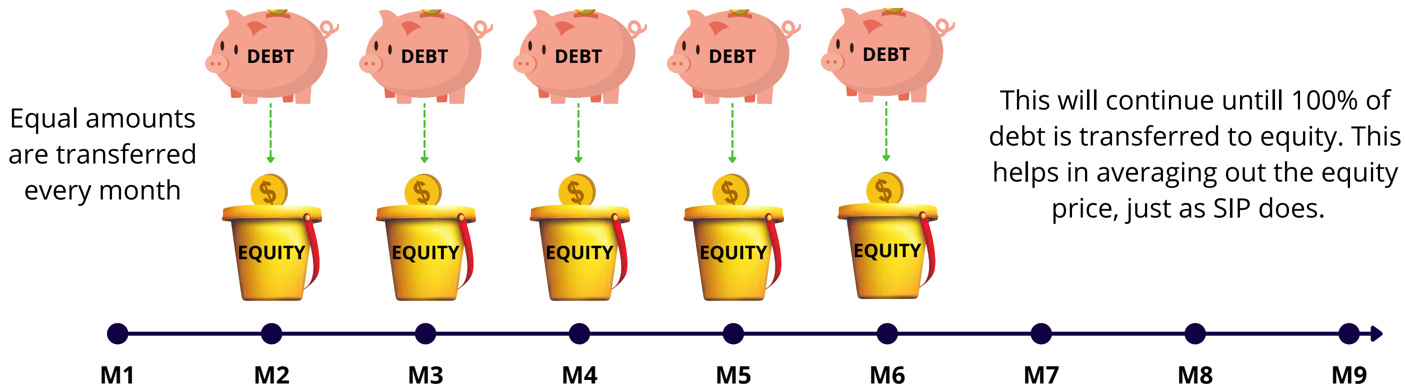
SYSTEMATIC TRANSFER PLAN (STP)

The second way of systematically dealing with a lump-sum amount is through a systematic transfer plan (STP). Initially, we deposit the lump-sum in a debt fund or a fixed deposit. Then we initiate a systematic transfer from the debt fund to an equity fund in equal installments spread out over 24 or 36 months. This way, we end up reducing the impact of valuation extremes on our finance. It is a combination of SIP and lump sum.





These are the two ways of dealing with lump-sum money to invest and reduce the risk of valuation extreme. We will never try to and judge valuations. It is an art that takes years to develop and an individual investor is better off dodging valuation systematically rather than trying to guess the same.

It is very much possible that we might end up buying when the markets are too expensive and then lose money. This will lead us to lose trust in the asset class and we will leave the principal to recover for years. Imagine what would have happened if we invested 50% of our life savings in equity at the peak of 2008. Our capital would have been eroded by 50-60% in the following 6 months and we would have lost trust in equities for life. This is what can happen if we get the wrong valuations. So, as an individual, we will always deal with valuations systematically rather than judging it by ourselves. We will use SIP, STP, or PMS to cater to it.